

The Court does not have access to the substance of the attorneys' meet-and-confer. What should have happened, however, is defense counsel pointing out the absence of cause-and-effect allegations; and plaintiff's counsel saying, "I see your point, I can fix that" -- and then doing so.

In the meantime, however, the absence of allegations as to what caused the fire, and why that is defendants' fault, are fatal to all of these causes of action. Even assuming that the grill operation was in violation of either the lease or the government regulations or both, that still isn't a viable damages cause of action for either negligence or breach of contract, unless that violation actually *caused* the harm alleged. Accordingly, the demurrer is **sustained with leave to amend**.

A separate issue arises as to the potential liability of Marjorie Zapruder as a co-signing guarantor. That issue remains open. But until we have a better pleaded understanding of what the tenant defendants are alleged to have done in breach of the lease and whether that did or didn't result in plaintiff's loss, we cannot come to grips with whether those alleged breaches do or don't fall within the scope of Marjorie's guaranty.

Plaintiff may file and serve a second amended complaint by June 26, 2026.

13. 9:00 AM CASE NUMBER: MSC16-00996
CASE NAME: ELY VS. WALNUT CREEK ASSOCIATES 2 [PAGA]
HEARING ON SUMMARY MOTION JUDGMENT
FILED BY:
TENTATIVE RULING:

Before the Court is a motion for summary judgment or, in the alternative, summary adjudication, filed by defendants Walnut Creek Associates 2, Inc. (DBA Walnut Creek Honda), Gordon S. Walton, Steve Sklavos and David Trzesniewski. The motion is **denied**, as set forth below.

Trial Management Going Forward

If this tentative ruling is contested, the attorneys should also attend (Zoom okay) prepared to discuss the timing and procedure for the upcoming court trial (possibly obviating the need for the pretrial conference now calendared). If there is no hearing on June 4, the attorneys should nevertheless be prepared for same discussion at the pretrial date.

The Court understands that there is at least informal agreement to submit the case to "trial on the papers", a welcome development. Given the concessions and debate found in the briefs on this motion, it may be that the parties are able to agree to much in advance, both legally and factually. Moreover, it may be economical for the parties to ascertain the proper measure and time period for damages – by stipulation, or by briefing and decision – before assembling and submitting bulky evidence books of past-year employment records. (Or, better yet, stipulating to the bottom-line figures ascertained from the employee records.)

The details and scheduling for the trial briefing, however, remain unsettled. In this respect, the Court draws attention to the fact that the nominal trial date, June 22, is in the last week of the service period of the present Temporary Assigned Judge (Judge Treat), and hence it will not be feasible for the Judge sitting on the trial date to carry the trial through to completion. Thus, the case likely calls for an agreed briefing schedule carrying into the time when Judge Campins is back.

I. Background

Defendant Walnut Creek Associates 2, Inc. employed plaintiff, Landen Ely, as an automobile technician at its car dealership. On May 11, 2016, plaintiff mailed his notice under the Labor Code Private Attorneys General Act of 2004 (Lab. Code, § 2698 *et seq.*, hereafter “PAGA”) to the Labor and Workforce Development Agency (LWDA) and defendants. (Separate Statement of Undisputed Material Fact, hereinafter “SSUMF,” Fact. No. 1; Plaintiff’s Response to SSUMF, hereinafter “plaintiff’s response” or “PAF,” No. 19.) The notice, dated May 11, 2026, states:

This investigation request and notice of California Labor Code violations concerns the systematic failure by Walnut Creek Honda to pay current and former California non-exempt employees in conformance with the California Labor Code and Wage Orders. At the core of Walnut Creek Honda violations is a policy of failing to keep accurate time and payroll records; requiring, suffering or permitting employees to perform unpaid work outside their scheduled work time; failing to pay for downtime between piece rate employment, failing to pay premium wages for all hours worked in excess of eight (8) hours and 12 hours in a day and in excess of eight (8) hours on any seventh day of a workweek; using improper federal averaging in lieu of required California calculations regarding piece rate payments; failing to pay 1.5 times the regular rate for overtime work, refusing to authorize and permit rest periods or to provide premium wages in lieu thereof; failing to provide PAID rest periods pursuant to the flag rate system which compensates employees only for work provided, failing to provide timely, complete and uninterrupted meal periods free of duty and auto-deducting wages for meal periods not provided or taken; failing to pay rest and meal period premiums to which employees are entitled for being denied rest and meal periods; requiring employees to purchase tools and garments necessary for work without reimbursement; failing to provide accurate wage statements and failing pay of all wages owed upon separation from employment. These violations are a uniform policy applied to all non-exempt workers at Walnut Creek Honda.

[...]

If no action is taken within 30 days, we will assume that we may pursue this action under the theories described above [...].

Plaintiff then filed this action on May 24, 2016, alleging a single cause of action under PAGA. The cause of action enumerates the following statutory violations, “among others:” Labor Code, §§ 201, 202, 203, 206, 223, 226, 226.3, 226.6, 226.7, 226.8, 256, 510, 512, 558, 1174, 1185, 1194.2, 1197, 1197.1, 2699 *et seq.*, and applicable IWC Wage Orders. (Complaint, ¶18.)

With respect to exhaustion of remedies, plaintiff states that the PAGA notice requirements “will have been satisfied” prior to service of the complaint, and that the complaint would be amended “to confirm completion.” (Complaint, ¶42.) There is no record of plaintiff having amended the complaint. Accordingly, the complaint fails to allege complete compliance with the Labor Code section 2699.3 notice and exhaustion requirements. (SSUMF Fact Nos. 2 and 4, and plaintiff’s response.) Nevertheless, the LWDA has not sent any notice to plaintiff or intervened in this action. (PAF, Fact No. 19, and Defendants’ Response to Plaintiff’s Separate Statement, hereinafter “defendants’ response,” filed May 22, 2026.)

Defendants filed an initial answer on September 28, 2016 and a first amended answer on January 5, 2017, both of which included an affirmative defense that plaintiff failed to meet PAGA’s

necessary filing and notice requirements. (SSUMF Fact No. 3, and plaintiff's response.) Defendants moved, unsuccessfully, to compel arbitration. For various reasons, including the pending appeal of the order denying the motion to compel arbitration, as well as various developments in the law with respect to arbitration and PAGA claims, this case remained stayed until October of 2024. (See Minute Order, filed October 10, 2024.)

II. Motion and Opposition

Defendants now move for summary judgment or summary adjudication in the alternative, arguing that plaintiff lacks standing since he failed to exhaust administrative remedies, that unpaid wages cannot be recovered under PAGA, that the penalties sought can only go back one year before the PAGA notice and plaintiff seeks three years, and the recent case of *Mora v. C.E. Enters., Inc.* (2025) 116 Cal.App.5th 72 ("*Mora*") bars plaintiff's entire theory of liability. Defendants list nine issues for adjudication, each related to these arguments.

In support of the motion, defendants provide a declaration from counsel which attaches excerpts and exhibits from the deposition of Alan Yun, the Person Most Qualified who testified on behalf of Walnut Creek Honda, a declaration of Alan Yun, and a request for judicial notice attaching plaintiff's PAGA notice. As required with a motion for summary judgment, defendants also provide a statement of material facts they contend are undisputed.

Plaintiff opposes the motion, except with respect to the claims pursuant to Labor Code § 558, § 226.8, and § 2810, claims plaintiff concedes "may be struck." (Memorandum of Points and Authorities in Support of Opposition, 19, fn. 5.) Plaintiff argues he exhausted his remedies and, in any event, defendants "waived" the exhaustion defense. He also contends PAGA permits him to recover three years of penalties pursuant to Labor Code section 203. Finally, plaintiff argues the compensation system was not legal, and that *Mora* is not controlling. In support of the opposition, plaintiff responds to defendants' SSUMF and also submits his own additional facts (PAF, Fact Numbers 19-32).

With their reply defendants respond to the plaintiff's additional facts and argue plaintiff fails to meet his burden to overcome summary judgment.

III. Evidentiary Matters

No evidentiary objections were filed. Defendants request judicial notice of the complaint, their answer, and their amended answer, as well as the plaintiff's PAGA notice, a copy of which is attached to the Volume of Evidence in Support of the Motion. The request is unopposed and is **granted**.

IV. Standard

To be entitled to judgment as a matter of law, a defendant must show by admissible evidence that the action has no merit. (Code Civ. Proc., § 437c, subd. (a).) To be entitled to summary adjudication, a moving party must show that it prevails on "one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty." (Code Civ. Proc., § 437c(f)(1).) Summary adjudication "shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (*Ibid.*) To obtain summary judgment, as opposed to summary adjudication, a defendant must show conclusively that all of the plaintiff's causes of action or legal theories fail as a matter of law. (See *Jimenez v. Protective Life Ins. Co.* (1992) 8 Cal.App.4th 528, 534.) A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment and shall proceed in all

procedural respects as a motion for summary judgment. (Code Civ. Proc., § 437c(f)(2).)

A defendant moving for summary judgment or adjudication can meet its burden by demonstrating one or more elements cannot be established, or by showing a complete defense. (Code of Civ. Proc., § 437c, subd. (o).) The scope of the moving party's initial burden is "framed by the pleadings." (*Leyva v. Garcia* (2018) 20 Cal.App.5th 1095, 1102.) Once the moving defendant has met that burden, the burden shifts to the plaintiff to show via specific facts that a triable issue of material fact exists. (Code of Civil Procedure § 437c, subd. (p)(2).) Although the burden of production may shift, the moving party always bears the burden of persuasion. (*Aguilar v. Atlantic Richfield* (2001) 25 Cal.4th 826, 850.)

V. Discussion

A. MSJ (Issues 1-2: Failure to Exhaust Administrative Remedies by Prematurely Filing Suit)

Defendants argue that plaintiff failed to exhaust his administrative remedies. Defendants assert, therefore, that the Court lacks jurisdiction and summary judgment is warranted.

A PAGA plaintiff must give written notice to the Labor and Workforce Development Agency ("LWDA") of the specific provisions of the Labor Code alleged to have been violated, including the facts and theories to support the alleged violation. Thereafter, if the agency fails to provide timely or any notification that it will investigate the allegations, the aggrieved employee may commence the PAGA action after waiting the required number of days. (Labor Code, § 2699.3 (a)(2)(A); *Esparza v. Safeway, Inc.* (2019) 36 Cal.App.5th 42, 59; *Kim v. Reins International California, Inc.* (2020) 9 Cal.5th 73, 81.)

The version of Labor Code § 2699.3, subdivision (a) in effect at the time of plaintiff's notice here stated as follows (emphasis added):

A civil action by an aggrieved employee pursuant to subdivision (a) or (f) of Section 2699 alleging a violation of any provision listed in Section 2699.5 shall commence *only after the following requirements have been met:*

(1)The aggrieved employee or representative shall give written notice by certified mail to the Labor and Workforce Development Agency [...].

(2)(A) The agency shall notify the employer and the aggrieved employee or representative by certified mail that it does not intend to investigate [...]. Upon receipt of that notice *or if no notice is provided within 33 calendar days of the postmark date of the notice* given pursuant to paragraph (1), the aggrieved employee may commence a civil action pursuant to Section 2699.

The notice requirement has been found to be "a condition of suit," without which an employee cannot bring a PAGA action. (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 545.) Here, plaintiff did provide the LWDA notice, but failed to wait the requisite number of days (33) before filing suit. The notice here was sent on May 11, 2016 and plaintiff filed suit just 13 days later on May 24th. This was premature, a fact not in dispute.

Defendants argue this issue is dispositive, citing several cases including *Caliber Bodyworks, Inc. v. Superior Court*, wherein the appellate court found the trial court should have sustained the defendant's demurrer due to the plaintiffs' failure to plead compliance with PAGA's prefiling notice requirements. (*Caliber Bodyworks, Inc. v. Superior Court* (2005) 134 Cal.App.4th 365, 383, overruled

on other grounds by *ZB, N.A. v. Superior Court* (2019) 8 Cal.5th 175, 196, fn. 8.)

Plaintiff does not address *Caliber*, but the Court notes there is some grounds for distinction given that plaintiff Ely here did plead partial compliance, if not complete compliance, with the notice requirements. Ely's complaint states, in relevant part:

42. The pre-lawsuit notice requirements set forth in Labor Code § 2699.3, including written notice by certified mail to .all DEFENDANTS and to the Labor and Workforce Development Agency detailing the Labor Code and IWC Wage Order violations averred herein, will have been satisfied by PLAINTIFF prior to service of this Complaint. PLAINTIFF will amend his Complaint at that time to confirm completion.

In *Caliber Bodyworks, Inc.*, plaintiffs' "operative complaint [did] not mention the [PAGA]." (*Caliber, supra*, 134 Cal.App.4th at 370.) The Court concluded that, at least on demurrer, plaintiffs' failure to plead compliance with the Labor Code § 2699.3(a) administrative prerequisites to filing suit was fatal to the PAGA claims. (*Caliber*, at 381-382.) While the court in *Caliber* recognized that, given the posture there (on demurrer), and statutory provisions relating to amendment, that plaintiff would be able to seek leave to amend after having complied with the LWDA. (*Id.* at 383, fn.18.)

There is little California authority on point, but notably, neither side here has cited the relevant and recent decision in *Brown v. Dave & Buster's of California, Inc.* (2025) 116 Cal.App.5th 164. There, the Second District Court of Appeal addressed the question of how to construe premature filing of a PAGA lawsuit. In that case, the trial court granted an employer's motion for judgment on the pleadings based on claim preclusion. Plaintiff Brown's PAGA suit followed a final judgment on Andrade's PAGA suit. Accordingly, the employer seeking to invoke claim preclusion took the position that the prior PAGA judgment was *valid*, and premature filing was *not* a substantial defect, while the employee (Brown) sought to *undermine* the judgment's validity so that her suit would not be barred.

The *Brown* court stated, "only one issue is before us: did Andrade's [the first PAGA plaintiff's] failure to adhere strictly to the 65-day waiting period for her amended claims defeat Buster's [employer's] claim preclusion argument?" The *Brown* court went on to discuss federal district court cases which have taken a permissive approach to the exhaustion requirements, overlooking a plaintiff's failure to plead exhaustion based on the lack of any reason to "punish plaintiffs" for acting too quickly. (*Brown, supra*, 116 Cal.App.5th at 171.) While the federal cases are not binding here, they appear to generally support the position that the prematurity defect does not bar suit.

The *Brown* court discussed the policy of substantial compliance, its application with respect to the Government Claims Act, and found that it also applied on the facts in *Brown*. (*Brown, supra*, 116 Cal.App.5th at 172 ["Andrade's failure to wait 65 days was a harmless defect."].)

While plaintiff's waiver argument misses the mark (waiver involves intentional relinquishment or abandonment of a known right, but defendants have done nearly nothing except seek to compel arbitration here), he is correct to point out that this case has been pending (albeit stayed) for almost ten years and the LWDA has never intervened. Accordingly, the Court finds strict compliance with the exhaustion requirements was excused.

Defendants have not met their burden to show entitlement to judgment as a matter of law. Accordingly, while the facts underlying summary judgment are not in dispute (see SSUMF Fact Nos. 1-4, and plaintiff's response), the motion must be denied on Issues 1-2.

B. Motion for Summary Adjudication (Issues 3-9)

As noted above, to be entitled to summary adjudication, a moving party must show that it prevails on “one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty.” (Code Civ. Proc., § 437c (f)(1).) Summary adjudication “shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” (*Ibid.*) Here, defendants seek adjudication as to certain aspects of plaintiff’s one cause of action.

Issue 3 seeks to limit the statutes in question to those mentioned in the PAGA notice. Issue 4 seeks to prohibit plaintiff from raising misclassification of employees. Issue 5 seeks to eliminate certain damages because the statutory basis is inapplicable to this case. Issue 6 asserts plaintiff cannot recover any penalties for violations of Labor Code section 558 based on California Supreme authority barring the claim. Issue 7 relates to the one-year time limits for PAGA penalties. Finally, issues 8 and 9 both target the time periods during which defendants had certain payment plans in place.

Defendant would prevail on several of these issues given the correct procedural posture. Indeed, plaintiff even concedes some of the points in the opposition (issue 5, for example). Still, the questions are better suited for motion in limine, motion to strike, or stipulation. None of these issues 3-9 qualifies as completely disposing of a cause of action in conformity with Code of Civil Procedure, section 437c(f). Accordingly, summary adjudication and summary judgment must be denied.

14. 9:00 AM CASE NUMBER: N25-2451

CASE NAME: CLAIM OF:ALLISON HARVEY

***HEARING ON MINOR'S COMPROMISE**

FILED BY:

TENTATIVE RULING:

The proposed minor’s compromise is **approved**.

15. 9:01 AM CASE NUMBER: C25-01439

CASE NAME: MICO BARGO VS. JORDAN SPIEGEL

***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER RESPONSES TO REQUESTS FOR PRODUCTION PROPOUNDED TO DEFENDANT JORDAN SPIEGEL**

FILED BY: BARGO, MICO

TENTATIVE RULING:

In this motor-vehicle-accident case, plaintiff moves to compel further responses to several requests for production. The motion is **granted in part and denied in part**.

Preliminary Points

Defendant objects that plaintiff has not met the requirement of meeting and conferring. Whether or not a live or telephonic conference was required (the timing is ambiguous), however, plaintiff has provided detailed meet-and-confer letters that adequately cover the disputes, and defendant did not respond substantively to them. It thus appears that if anyone is flunking the spirit of this requirement, it may be defendant, not plaintiff.